

Chapter 4 Capital Investment Appraisal

Let's Start

- 1 Net present value of the electric coach
$$= (\$600,000 \div 1.08) + (\$600,000 \div 1.08^2) + [(\$600,000 + \$450,000) \div 1.08^3] - \$2,800,000$$
$$= - \$896,517.3$$

As the NPV is negative, Sunny Coach should not purchase the electric bus.

2

(a) It wants to improve staff morale.	
(b) It wants to improve its business image.	✓
(c) It wants to meet industry standards.	
(d) It needs to fulfil legal requirements.	

Check Your Progress

- P4-1** (a) Riskiness of capital projects
(b) Investment income
(c) Investment horizon
(d) Investment costs
- P4-2** (a) Improving business image
(b) Regulatory compliance
(c) Improving staff morale
(d) Meeting industry standards
(e) Strategic reasons
- P4-3** (a) F ARR uses profits and ignores cash flows generated from the project.
(b) T
(c) F ARR ignores the time value of money.
(d) T
- P4-4** (a) Accept both projects X and Y
(b) Accept project Y and reject project X

P4-5 Payback period of the equipment:

Year	Cash flow (\$)	Remaining cost (\$)	No. of years required
0	-550,000	550,000	N/A
1	+250,000	$550,000 - 250,000 = 300,000$	1
2	+200,000	$300,000 - 200,000 = 100,000$	1
3	+180,000	$100,000 - 100,000$ (out of 180,000) = 0	0.56*
Total number of years required to recover the initial investment			2.56

*Time to recover remaining cost

= Remaining cost from year 2 $\div$ Cash flow from year 3

= $\$100,000 \div \$180,000$

= 0.56

Therefore, the capital project should not be accepted as its payback period (2.56 years) is longer than the maximum payback period allowed (two years).

- P4-6** (a) F Payback period ignores cash flows after the payback period.
(b) T
(c) T
(d) F Payback period ignores the time value of money.

- P4-7** (a) NPV of Brand A's computer system
= $(\$380,000 \div 1.08) + (\$320,000 \div 1.08^2) + (\$280,000 \div 1.08^3) + (\$225,000 \div 1.08^4) - \$150,000$
= \$863,855

- (b) No, the firm should not choose Brand B. Instead, it should choose Brand A's computer system because its NPV is higher than that of Brand B's computer system.

- P4-8** (a) T
(b) F NPV considers the time value of money.
(c) T
(d) F A negative NPV implies that the project has a rate of return that is smaller than the cost of capital.

- P4-9** (a) Accept both projects A and B
(b) Accept project A and reject project B

- P4-10** (a) F IRR measures the rate of return of the project as a percentage.
(b) F A lower IRR implies a lower rate of return from an investment.
(c) F A project should only be accepted if its IRR is greater than or equal to the firm's cost of capital.
(d) T

Let's Try

T4-1 Other financial factors that may affect capital investment decisions include:

- Availability of financing
- The amount of capital held by the firm. If the firm does not have sufficient capital, it may have to give up profitable projects.
- Indirect financial effects (e.g., installing a more advanced machine may allow the firm to use cheaper raw materials)

T4-2 Free answer

T4-3 Other non-financial factors that may affect capital investment decisions include:

- Quality of products or services: A firm may reject a profitable project if it would lead to lower product quality.
- Customers' behaviour: A firm may reject a profitable project if it might disappoint some customers and cause them to switch to competitors.
- Ethical issues: A firm may reject a profitable project if it is regarded as unethical by the public.
- Flexibility of production: A firm may reject a profitable project (e.g., installing more manufacturing equipment) if the project could reduce production flexibility.
- Employees' job satisfaction: A firm may reject a profitable project (e.g., installing a machine to reduce reliance on craftsmanship) if it could decrease employees' job satisfaction.
- Skills and experience: A firm may accept a non-profitable or less profitable project in order to acquire new skills (e.g., technological skills) and experience.

Answers to Assessment

Short Questions

4.1 Reasons:

- Internal rate of return considers the time value of money while accounting rate of return does not.
- In finance, we prefer to use cash flows instead of revenue or profits to assess the worthiness of a project. Internal rate of return uses cash flows in its calculation, while accounting rate of return uses net profits in its calculation.

2 marks

2 marks

4.2 Advantages of using the payback period method to evaluate a capital investment project include:

- Simple to calculate: Its calculation does not require advanced skills.
- Easy to understand: It helps managers evaluate a project and communicate the idea of project profitability to shareholders easily.
- Helps identify risky projects: As business conditions are constantly changing, projects that have a long payback period tend to have more uncertainties and are thus riskier.
- Increase reinvestment opportunities: When a firm invests in capital projects that have a short payback period, it can recover the investment cost quickly and have more cash for reinvestment.

Any two

2 marks each

4.3 Limitations of using the net present value method for the evaluation of a capital project include:

- Difficult to estimate the cost of capital: The estimation process requires a huge effort and involves complicated procedures.
- Difficult to compare projects with different investment amounts: Since net present value measures the value of projects in monetary terms, its size is mostly determined by the size of the investment amounts (e.g., projects with a much greater investment size tend to have a greater net present value than those with a much smaller investment size).
- Difficult to understand: Managers without formal training in finance may find net present value figures difficult to understand.

Any two
2 marks each

4.4 (a) Yes. This is because the accounting rate of return of the new washing machines (15%) is higher than the targeted rate of return of the laundry (10%).

2 marks

(b) Reasons:

- Accounting rate of return is simple to calculate compared with other capital investment appraisal methods. Its calculation does not require advanced skills.
- Accounting rate of return is easy to understand as it is a simple percentage. This helps managers communicate the idea of project profitability to shareholders easily.

2 marks

2 marks

4.5 (a) No. Since the new inventory system has an internal rate of return (8%) lower than that of the supermarket chain's cost of capital (10%), the company should not adopt the new inventory system based on the internal rate of return.

2 marks

(b) Limitations of using the internal rate of return for capital investment appraisal include:

- Since the internal rate of return measures the return of the project as a percentage, it does not reflect the effect of the project on the firm value.
- When there are negative cash flows, multiple internal rates of return may exist, which may mislead firms into making bad investment decisions.

2 marks

2 marks

4.6 (a) Payback period of the investment project:

Year	Cash flow (\$)	Remaining cost (\$)	No. of years required
0	-150,000	150,000	N/A
1	+90,000	150,000 – 90,000 = 60,000	1
2	+90,000	60,000 – 60,000 (out of 90,000) = 0	0.7*
Total number of years required to recover the initial investment			1.7

$$\begin{aligned}
 \text{*Time to recover remaining cost} &= \text{Remaining cost from year 1} \div \text{Cash flow from year 2} \\
 &= \$60,000 \div \$90,000 \\
 &= 0.7
 \end{aligned}$$

Therefore, the payback period of this investment project is 1.7 years.

2 marks

(b) Net present value of this project

$$\begin{aligned}
 &= (\$90,000 \div 1.07) + (\$90,000 \div 1.07^2) + (\$90,000 \div 1.07^3) + [(\$90,000 + \$9,500) \div 1.07^4] \\
 &\quad - \$150,000 \\
 &= \$162,096.52
 \end{aligned}$$

1 mark

1 mark

- (c) Yes. The garment accessory manufacturer should accept the project because the project's net present value is greater than zero. Accepting the project will increase the manufacturer's firm value by exactly the amount of the net present value.

2 marks

4.7 Financial factors John should consider include:

- Investment costs, e.g., the acquisition cost of the bookshop. The higher the investment costs, the less attractive the investment, holding other factors constant.
- Investment income, e.g., the expected revenue (i.e., cash inflows) of the bookshop. The higher the investment income, the more attractive the investment, holding other factors constant.
- Investment horizon, e.g., the number of years which John expects to invest in the bookshop. If the time needed to recover the initial investment is longer than his investment horizon, he will not acquire the bookshop.
- Time value of money or cost of capital. For example, if John's next best alternative is to invest in a 10-year government bond, the interest rate earned on the bonds would be his cost of capital. The higher the discount rate, the lower the present values of cash inflows and thus the return from the bookshop, holding other factors constant.
- Riskiness of the capital project, e.g., how certain John is about the investment return of the book shop. Since risk and return are positively related in general, investors will demand a higher rate of return from a riskier project. If the expected rate of return on the book shop is lower than John's required rate of return, he will not acquire the book shop.

Any two

2 marks each

4.8 Non-financial factors that may have caused the company to make this decision include:

- Regulatory compliance: The factory needs to install the sewage treatment facility to reduce the concentration of suspended solids in its wastewater in order to comply with the upper limit of statutory discharge standards.
- Meeting industry standards: The factory needs to install the sewage treatment facility to meet the textile industry's standard.
- Improving business image: Installing the sewage treatment facility can reduce water pollution and protect the environment. This can help the factory build an image of being a responsible corporate citizen.

Any two

2 marks each

(Any other reasonable answers)

4.9 (a) Payback period of the food waste processor:

Year	Cash flow (\$)	Remaining cost (\$)	No. of years required
0	-48,000	48,000	N/A
1	+20,800	$48,000 - 20,800 = 27,200$	1
2	+18,500	$27,200 - 18,500 = 8,700$	1
3	+15,200	$8,700 - 8,700 \text{ (out of } 15,200) = 0$	0.6*
Total number of years required to recover the initial investment			2.6

$$\begin{aligned}
 \text{*Time to recover remaining cost} &= \text{Remaining cost from year 2} \div \text{Cash flow from year 3} \\
 &= 8,700 \div 15,200 \\
 &= 0.6
 \end{aligned}$$

Therefore, the payback period of the food waste processor is 2.6 years.

2 marks

- (b) Net present value of the food waste processor
 $= (\$20,800 \div 1.1) + (\$18,500 \div 1.1^2) + (\$15,200 \div 1.1^3) + (\$13,600 \div 1.1^4) - \$48,000$ 1 mark
 $= \$6,907.32$ 1 mark
- (c) Financial factors supporting the restaurant's decision:
- Investment costs, e.g., the purchase price and installation cost of the food waste processor. The lower the investment costs, the more attractive the investment, holding other factors constant.
 - Investment income, e.g., the savings on food waste disposal costs. The higher the investment income, the more attractive the investment, holding other factors constant.
 - Investment horizon, e.g., the useful life of the food waste processor. Since the food waste processor can be used for four years, the restaurant will acquire the food waste processor as the investment can be recovered within four years.
 - Time value of money or cost of capital. If the cost of capital of the restaurant decreases, the present values of cash inflows and thus the return on the food waste processor will become higher, holding other factors constant.
 - Riskiness of the capital project, e.g., how certain the restaurant is about the investment return of the food waste processor. If the restaurant is very certain about the investment return, it will acquire the food waste processor. Any one 2 marks

Essay Questions

- 4.10** (a) The hair salon may use the following capital investment appraisal methods to evaluate its expansion plan:
- Accounting rate of return (ARR): This measures the average annual net profit generated per dollar of average investment. The higher the ARR is, the higher the rate of return from a project. To decide whether to accept the expansion plan, the hair salon should compare the ARR of the expansion plan with a targeted rate of return. The expansion plan should be accepted if its ARR is greater than or equal to the hair salon's targeted rate of return. Otherwise, it should be rejected.
 - Payback period: This is the time it takes to recover the investment. To decide whether to accept the expansion plan, the hair salon should compare the payback period of the expansion plan with its maximum allowed payback period. The expansion plan should be accepted if its payback period is less than or equal to the firm's maximum allowed payback period. Otherwise, it should be rejected.
 - Net present value (NPV): This is the present value of future net cash inflows, less the initial outlay of an investment. The hair salon must estimate its cost of capital in order to calculate the NPV of the expansion plan. The expansion plan should be accepted if its NPV is greater than or equal to zero in order to increase the firm value of the hair salon. Otherwise, it should be rejected.
 - Internal rate of return (IRR): This is the discount rate at which the NPV of a capital project is zero. To decide whether to accept the expansion plan, the hair salon should compare the IRR of the expansion plan with its cost of capital. The expansion plan should be accepted if its IRR is greater than or equal to the hair salon's cost of capital. Otherwise, it should be rejected.
- (1 mark for the method and 2 marks for the explanation/example, maximum 10 marks)

(b) The objectives of training and development are as follows:

- To ensure the health and safety of employees: Proper training equips the hair salon's employees with the right work attitudes and skills to avoid accidents. For example, employees can learn how to operate perm machines correctly through training. This helps ensure their safety.
- To improve the company's product or service quality: Training helps enhance the service manner and skills of the hair salon's employees so that they can deliver better services to customers. For example, the receptionists can improve their service attitude and communication skills through training. This can improve the quality of their customer services and therefore the salon's service quality.
- To improve efficiency and productivity: Training and development can better equip the hair salon's employees with the required competencies and skills to perform their duties. For example, the salon assistants can improve their skills through training. This helps improve their efficiency in providing shampoo services and ultimately enhance the entire salon's productivity.
- To motivate employees and enhance their morale: Training helps the hair salon's employees perform better in their jobs, thus leading to greater job satisfaction. Employee development may also convey a message to employees that they have promotional prospects at the salon. They may then work harder to get promoted. Therefore, training and development can help motivate the employees and enhance their morale.
- To foster employees' sense of belonging and enhance employee relations: If the hair salon provides its employees with training and development, they may feel that the salon cares about their personal growth and career development and will feel grateful to it. As a result, they will have a stronger sense of belonging to the salon and fewer grievances. This helps reduce the staff turnover rate and promote a harmonious working relationship between the management and employees.
- To satisfy the company's current and future needs: Through training and development, the hair salon can ensure that its employees have the needed skills and knowledge to support its development and cope with market changes and threats in the future. This can help sustain and promote corporate growth. For example, if the salon has decided to open a new branch, it may provide a development programme for the employee who would be promoted to branch manager so that he/she can manage the new branch properly.

(1 mark for the objective and 2 marks for the explanation/example, maximum 8 marks)

(Any other reasonable answers)

4.11 (a) The variables involved in the calculation of the net present value include:

- Initial cost of the investment project: For example, if the handbag manufacturer obtains the factory by hire purchase, the down payment made by the manufacturer is the initial cost of this investment project.
- Cost of capital or required rate of return: This is the rate of return that handbag manufacturer can earn from the next best alternative. It is also the manufacturer's required rate of return for the investment. For example, if the next best alternative for the manufacturer is to invest in a 15-year corporate bonds, the rate of return for the investment in the 15-year corporate bonds would be its cost of capital.

- Investment period or useful life of the investment: For example, if the handbag manufacturer plans to sell the factory after using it for 15 years, the investment period would be 15 years.
- Net cash inflows: This includes all the cash flows related to the investment project. The net cash inflow of each investment year is obtained by subtracting the cash outflows from the cash inflows of that year. Examples of cash inflows include the income generated from the investment in the factory; examples of cash outflows include the instalments paid on the factory by the manufacturer.
- Net present value (NPV): This is the present value of future net cash inflows less the initial outlay of an investment. If the NPV is greater than or equal to zero, the handbag manufacturer should invest in the factory; otherwise, it should not invest in the factory.

(1 mark for each variable and 1 mark for the relevant example, maximum 10 marks)

(b) The handbag manufacturer should consider the following factors when determining whether it should use debt financing or equity financing:

- Risk: If the handbag manufacturer has a high risk of bankruptcy, it should use equity financing instead of debt financing. Since debt financing usually involves interest costs and has a maturity, this puts an additional financial burden on the company. However, since equity financing does not involve interest cost and has no maturity, it does not create an additional financial burden for the company.
- Control: If the existing owners of the handbag manufacturer want to maintain a high degree of control over the company, debt financing instead of equity financing should be used. For example, if the manufacturer issues new common stock, new common stockholders can affect the decisions of the company by exercising their voting rights at annual general meetings. Therefore, equity financing may reduce owners' control over the company. Since creditors do not have the right to vote on company decisions at annual general meetings, debt financing does not affect owners' control over the company.
- Cost: If the handbag manufacturer prefers a cheaper source of capital, it should use debt financing instead of equity financing. Suppose the manufacturer is choosing between issuing bonds or new common stock. Since investors usually demand a lower return from bonds than common stocks, and interest expenses are tax deductible while dividends are not, the cost of debt financing is lower than that of equity financing.
- Collateral: If the handbag manufacturer finances the investment in a factory with debt financing methods, such as taking out a bank loan, it may be required to offer the factory as collateral. However, collateral is not required for equity financing.

(1 mark for the factor and 2 marks for the relevant example, maximum 8 marks)

(Any other reasonable answers)

4.12 (a) The cosmetic retail company should consider the following factors:

- **Costs:** This refers to the costs of selling products through the company's own sales force and the distribution costs of using intermediaries (e.g., commissions). If the distribution fees paid to intermediaries are lower than the cost of selling products through its own branches, the company should distribute its products in Europe through intermediaries.
- **Control over the marketing of products:** This means whether the company wants to have more control over the marketing of its products, such as how its products are displayed and promoted. If the cosmetic retail company wants to have better control over the promotion of its products, it should distribute its products in Europe through its own retail shops.
- **Relationship with customers:** This means whether the company wants to reach its customers directly or build close relationships with them. If the retail cosmetic company wants to receive direct feedback from its customers, it should distribute its products in Europe through its own retail shops.
- **Customer base:** This means whether the company has connections with its potential customers, and whether its target consumers are geographically dispersed or prefer purchasing from channel members. If the target consumers of the retail cosmetic company are more comfortable with purchasing through department stores, the company should distribute its products in Europe through intermediaries.
- **The company's expertise and resources:** This means whether the company possesses the expertise and resources to distribute its products effectively. If the retail cosmetic company does not have an experienced sales team to sell and promote its products to consumers in Europe, it should distribute its products in Europe through intermediaries.

(1 mark for the factor and 2 marks for the explanation/example, maximum 8 marks)

(Any other reasonable examples)

(b) The drawbacks of various capital investment appraisal methods are as follows:

Method	Drawbacks
Accounting rate of return (ARR)	• It uses profits and ignores cash flows generated from the project. Cash flows are preferred in capital investment appraisal because they are the actual amounts paid or received by a firm. • It ignores the time value of money. It fails to distinguish between a dollar of net profit received now and that received later as no discounting is involved. • It fails to reflect the increase in the firm value of a company. • Profits could be manipulated. As a result, the ARR could be overestimated, causing the company to make a bad investment decision.

Method	Drawbacks
Payback period	- It ignores the time value of money. As cash flows are not discounted in the calculation of a payback period, the payback period does not reflect the actual time that a project takes to recover its investment. - It ignores cash flows after the payback period. As it only considers cash flows within the payback period, it fails to consider the worth of the whole project. Therefore, it may mislead the company into rejecting good long-term investment projects if most of the additional cash inflows of the projects occur after the payback period. - The decision criterion for a targeted payback period is rather subjective and arbitrary.
Net present value (NPV)	- It is difficult to estimate an appropriate required rate of return (i.e., the cost of capital). The estimation process requires a huge effort and involves complicated procedures. - It is difficult to compare capital projects with different investment amounts using the NPV method. Since it measures the value of projects in monetary terms, the size of the NPV is mostly determined by the size of the investment amounts (e.g., projects with a much greater investment size tend to have a greater NPV than those with a much smaller investment size). - NPV cannot tell the rate of return of an investment project. Managers without formal training in finance may find NPV figures difficult to understand.
Internal rate of return (IRR)	- Since it is expressed as a percentage, it does not reflect the effect of the project on the firm value. Therefore, when comparing two mutually exclusive projects, the manager cannot assess how much the two projects will increase the firm value. - Multiple IRRs may exist when there are negative cash flows. Mathematically, a set of positive cash flows is required to generate a single IRR. Therefore, when cash flows include both positive and negative figures, there will be multiple solutions for the IRR.

(1 mark for the limitation and 2 marks for the explanation, maximum 10 marks)

Case Analysis

4.13 (a) Yuk Woo Hin may incur the following types of cost for keeping excessive inventory:

- Storage expenses
- The loss due to inventory deterioration and obsolescence
- Opportunity cost of the money tied up in inventory

Any two

2 marks each

(Any other reasonable examples)

(b) Yuk Woo Hin can differentiate itself from its competitors in the following ways:

- Product differentiation: Yuk Woo Hin may provide its signature dim sum which other frozen dim sum suppliers do not offer.
- Channel differentiation: Yuk Woo Hin may distribute its frozen dim sum products at its own restaurant.

2 marks

2 marks

(Any other reasonable examples)

(c) (i) Payback period of the first brand's food production machine:

Year	Cash flow (\$)	Remaining cost (\$)	No. of years required
0	-2,300,000	2,300,000	N/A
1	+1,900,000	$2,300,000 - 1,900,000 = 400,000$	1
2	+1,350,000	$400,000 - 400,000$ (out of 1,350,000) = 0	0.30*
Total number of years required to recover the initial investment			1.30

*Time to recover remaining cost:

= Remaining cost from year 1 ÷ Cash flow from year 2

= $400,000 \div 1,350,000$

= 0.30

The payback period of the first brand's food production machine is 1.30 years.

1 mark

Payback period of the second brand's food production machine:

Year	Cash flow (\$)	Remaining cost (\$)	No. of years required
0	-2,300,000	2,300,000	N/A
1	+1,300,000	$2,300,000 - 1,300,000 = 1,000,000$	1
2	+1,200,000	$1,000,000 - 1,000,000$ (out of 1,200,000) = 0	0.83*
Total number of years required to recover the initial investment			1.83

*Time to recover remaining cost:

= Remaining cost from year 1 ÷ Cash flow from year 2

= $1,000,000 \div 1,200,000$

= 0.83

The payback period of the second brand's food production machine is 1.83 years.

1 mark

- (ii) Yuk Woo Hin should choose food production machines from the first brand. This is because the payback period of the first brand's food production machines (1.3 years) is shorter than that of the second brand (1.83 years).

2 marks

(d) More reliable capital investment appraisal methods include:

- Net present value: This is the present value of future net cash inflows less the initial outlay of an investment.
- Internal rate of return: This is the discount rate at which the NPV of a capital project is zero.

2 marks

2 marks

- 4.14** (a) Heep Wo Engineering is a non-manufacturing firm, and it currently has 45 employees. In Hong Kong, a non-manufacturing enterprise which employs fewer than 50 persons is an SME. Therefore, Heep Wo Engineering will not be considered as an SME in Hong Kong if it hires 10 more workers. 3 marks
- (b) Heep Wo Engineering may offer workers benefits that can satisfy their safety and security needs. For example, it may include medical insurance and housing subsidies. 2 marks
(Any other reasonable examples)
- (c) Types of risk management strategy that Heep Wo Engineering may use to deal with the risk of its workers suffering heatstroke:
- Risk reduction (loss prevention): Increase rest time for workers when Heat Stress at Work Warning is in force. 2 marks
 - Risk assumption: Set aside an amount of money to compensate workers for losses incurred in the event that they suffer heatstroke at work. 2 marks
- (Any other reasonable examples)
- (d) Heep Wo Engineering should not purchase smart helmets because the accounting rate of return of this project (2%) is less than its targeted rate of return (7%). More importantly, the net present value of this project is negative (i.e., -\$120,000), which means accepting it will lower Heep Wo Engineering's firm value. 3 marks
- (e) Non-financial factors supporting Heep Wo Engineering's investment in smart helmets:
- Improving business image: Heep Wo Engineering may build an image of being a responsible corporate citizen by showing that much importance is attached to workplace safety. 2 marks
 - Improving staff morale: Since Heep Wo Engineering's workers value workplace safety a lot, this investment will improve their satisfaction and morale. 2 marks
- 4.15** (a) Possible causes of the unfavourable sales variance that Orient Jewellery recorded include:
- The sales forecast may be over-optimistic and the sales budget is unattainable. 2 marks
 - The pandemic may have led to a decrease in sales at many businesses, including Orient Jewellery. 2 marks
- (Any other reasonable answers)
- (b) Benefits of using e-marketing place strategies for Orient Jewellery:
- Transactions take place around the clock: Consumers are allowed to make purchases online at any time. This helps companies generate more sales. 2 marks
 - Save costs: Since Orient Jewellery does not need to rely solely on personal selling to sell products, the company can save on part of the cost of hiring salespeople. 2 marks
- (Any other reasonable answers)

- (c) (i) Net present value of the online shopping platform project

$$= (\$900,000 \div 1.15) + (\$900,000 \div 1.15^2) + (\$900,000 \div 1.15^3) + (\$900,000 \div 1.15^4)$$

$$- \$1,300,000$$

$$= \$1,269,481$$
1 mark
1 mark
- (ii) Yes, Orient Jewellery should accept the project. This is because the net present value (NPV) of the project (\$1,269,481) is greater than zero, which means that Orient Jewellery's firm value will increase by the amount of the NPV if it accepts the project. 2 marks
- (d) Advantages of using the net present value method over the payback method in capital investment appraisal:
- Net present value takes the time value of money into consideration; the payback period does not.
 - Net present value considers all cash flows related to the investment project, while the payback period only considers cash flows within the payback period.
 - Net present value can directly reflect the effect of an investment project on the firm value; the payback period does not. Any two
2 marks each